Solution

Statement of profit or loss for the year ended 31st March, 2018

Particulars	₹
Closing capital (as on 31.3.2018)	2,75,000
Add: Drawings during the year (balancing figure)	**20,000**
	2,95,000
Less: Additional capital introduced during the year	30,000
Adjusted closing capital	2,65,000
Less: Opening capital (as on 1.4.2017)	2,50,000
Profit made during the year	15,000

Drawings made during the year ₹ 20,000 can also be found out by preparing the capital account.

Dr. **Capital Account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2018				2017			
Mar. 31	To Drawings A/c		20,000	Apr. 1	By Balance b/d		2,50,000
	(balancing figure)				By Cash A/c		30,000
31	To Balance c/d		**2,75,000**	2018			
				Mar. 31	By Profit		15,000
			2,95,000				2,95,000

1.7.3 Statement of affairs

A statement of affairs is a statement showing the balances of assets and liabilities on a particular date. The balances of assets are shown on the right side and the balances of liabilities on the left side. It is prepared from incomplete records to find out the capital of a business unit on a particular date. This statement resembles a balance sheet. The difference between the total of assets and total of liabilities is taken as capital.

Capital = Assets – Liabilities

Although the statement of affairs is a list of assets and liabilities, it is not called balance sheet because the values of all assets and liabilities shown in the statement of affairs are not fully based on the ledger balances. Some items are taken from accounts maintained, some items from relevant documents and some balances are mere estimates based on memory.

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